

CHIEF INVESTMENT OFFICE

Capital Market Outlook

August 17, 2026

All data, projections and opinions are as of the date of this report and subject to change.

IN THIS ISSUE

Macro Strategy—*Wading Through the Data: The Fed's Rate-hike Conundrum:*

Rebounding oil prices amid persistent Middle East tensions, together with heavy corporate and Treasury bond issuance, have maintained some upward pressure on longer-term interest rates. Against this backdrop, however, a soft July employment report and relatively favorable inflation data over the past month have reduced the odds of the Federal Reserve (Fed) raising rates in September. The mixed data bag has created a conundrum for the Fed.

Meanwhile, against a backdrop of surging profits, Equity benchmarks have broadly reached fresh highs, credit spreads have remained narrow, and market volatility has stayed low consistent with limited systemic risks. Artificial Intelligence (AI)-related investment, government investment incentives, high productivity, restrained labor costs, and resilient consumer spending growth have created an exceptionally strong corporate earnings environment. U.S. oil producers have also benefited from unexpectedly high prices this year. All told, the risk-asset outlook remains constructive.

Market View—*Sounding the Arsenal Alarm:* Just how depleted the nation's munitions stockpiles have become is now an open question. While estimates exist, years of underinvestment and overlapping geopolitical conflicts have exacerbated stockpiles and have now elevated rearming to a national security priority.

Higher defense spending targets and commitments globally for arms, rearmament and defense technology continue to support the momentum the aerospace and defense sector has seen late in the summer. At the same time, and extending beyond traditional armaments, commercial aviation backlogs, fleet modernization and emerging technologies such as drones, cybersecurity and advanced defense systems are also driving the defense narrative with potential investment opportunities spanning both public and private markets.

The Ticker Tape—*Top Questions Answered Directly by Our Chief Investment Officer (CIO).*

- What, in our view, is the largest risk in the markets right now?

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[MACRO STRATEGY ►](#)

[MARKET VIEW ►](#)

[THE TICKER TAPE ►](#)

[MARKETS IN REVIEW ►](#)

Portfolio Considerations

We view recent volatility as a rolling correction rather than the end of the cycle. We favor diversified Equity exposure, with potential opportunities extending beyond Growth to Value, Small- and Mid-caps, Non-U.S. Equities (especially Emerging Markets), dividend-focused and thematic strategies.

We favor adjusting portfolios toward strategic durations given attractive elevated nominal and real yields, and see value in high-quality bonds, particularly longer-dated municipal bonds.

Consider broader portfolio diversification with potential opportunities across industrial metals, energy, Real/Tangible Assets, Hedge Funds, private markets, and global strategies to capture themes from AI, reindustrialization, infrastructure growth and market dispersion.

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Wading Through the Data: The Fed's Rate-hike Conundrum

Chief Investment Office, Macro Strategy Team

Rebounding oil prices amid persistent Middle East tensions, together with heavy corporate and Treasury bond issuance, have maintained upward pressure on longer-term interest rates in recent months. Still, 10-year Treasury yields have remained at a normal level within their two-year range, as relatively anchored inflation and inflation expectations alongside a weak July employment report have lowered the odds of a Fed rate hike in September.

According to the Bureau of Labor Statistics, non-farm payroll employment shrank by 23,000 in July, with gains over the prior two months revised significantly lower. While the July setback was concentrated in government jobs, the 30,000 increase in private-sector jobs fell short of expectations. Manufacturing added 5,000 jobs in July, while the private sector excluding healthcare and education added a negligible 5,000 jobs. This left private-sector employment higher by 500,000 year to date, 67% centered in healthcare and education. The decline in unemployment to 4.1% has mainly reflected labor-force contraction due to reduced immigration and retiring baby boomers, with the labor force now 2.4 million smaller than in December, an unprecedented drop outside the pandemic.

Still, despite the sharp drop in the labor force, job openings have increased by only about 700,000 year-to-date (YTD). The quits rate has stabilized over the past year at a level last seen in 2016 and below its long-term average. Average hourly earnings barely increased in July and rose just 3.15% year-over-year (YoY). The Conference Board's labor-market differential—the share of consumers reporting that jobs are plentiful minus those saying they are hard to get—has continued to decline, confirming the downtrend in the job-openings and quits rates (Exhibit 1A). Its dip through July suggests job openings probably shrank again after a slight June drop. These indicators suggest that workers still perceive fewer outside opportunities as employers remain cautious about expanding payrolls and raising pay—in other words, there's been more to weak hiring than just a shrinking labor supply.

Signals from the Institute for Supply Management (ISM) manufacturing and non-manufacturing surveys have also remained mixed. The manufacturing index strengthened in July. Consistent with a broadening AI-related industrial revival, its employment subindex moved into expansion territory for the first time in three years. New orders inched slightly further above their 25-year average—a positive signal for economic growth and corporate earnings. In contrast, the ISM services index barely rose, remaining below both its February peak and its 25-year average. While new orders edged up just above their historical average, its employment subindex stayed in contraction territory for the fourth time in five months.

Signals from the National Federation of Independent Business survey, which rose noticeably in July, are also mixed: spiking job openings and strengthening plans to increase employment (consistent with other data showing labor demand may be stabilizing rather than deteriorating further) alongside moderate plans to raise worker pay (reinforcing other signals of tepid labor demand and wage pressures).

For an inflation-focused Fed, mixed growth data, soft employment, slow wage growth, and strong productivity trend growth may not be sufficient to rule out rate hikes given the drop in unemployment. However, inflation has also shown further signs of easing. June consumer inflation was softer than expected, and the recently released July consumer price index (CPI) report was tame again, with “core” CPI up only 1.6% annualized over the past three months and its YoY growth rate slowing to 2.47% (Exhibit 1B). Housing inflation remains relatively elevated but has gotten closer to its 30-year average following significantly cooler monthly readings in June and July. “Core” CPI inflation excluding housing also eased again and remained near 2% in July.

Investment Implications

Long-term yields may remain under upside pressure from AI-related debt issuance, fiscal concerns, and high oil prices but are unlikely to increase enough to offset strong tailwinds to risk assets from AI investment and higher trend productivity growth.

“Cyclical” inflation—covering prices typically more responsive to business-cycle and labor-market conditions—has dropped toward prepandemic levels and remains on a downward trend. Remaining inflation pressures are still concentrated in prices relatively insensitive to the business cycle—related to tariffs, Middle East trade disruptions, and cost pressures in insurance, healthcare, electricity, or areas affected by rapid AI investment.

This “acyclical” inflation—which is less responsive to interest rate hikes than demand-driven inflation—also cooled meaningfully in June, however, rising at only a 1.45% annualized monthly pace, within its pre-pandemic range and with scope for further moderation. Tariff effects appear to be largely fading, while oil prices have retreated from their peak and could substantially decline further once Middle East tensions ease. Unit labor costs growth has slowed, suggesting downside pressures on prices as wage contracts and other upward price rigidities eventually reset lower to better reflect economic conditions. Personal consumption expenditures (PCE) inflation, the Fed’s current inflation target, is less cyclical than CPI inflation but likely to gradually ease further as well.

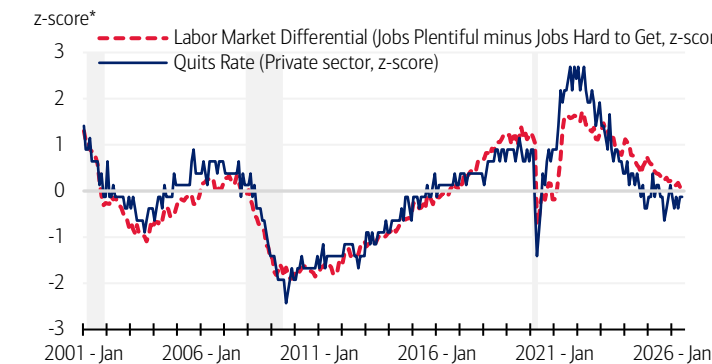
Against a backdrop of surging profits, Equity benchmarks have broadly reached fresh highs, credit spreads have remained narrow, and market volatility has stayed low consistent with limited systemic risks. AI-related investment, government investment incentives, high productivity, restrained labor costs, and resilient consumer spending growth have created an exceptionally strong corporate earnings environment. U.S. oil producers have also benefited from unexpectedly high prices this year.

The consensus estimate for 2026 hyperscalers’ AI-related capex has surged to around \$800 billion, roughly 50% above late 2025 projections. With one company’s capital expenditures (capex) another company’s revenues, moderate labor growth, and operating leverage, the investment splurge has quickly helped engender a broadening profits bonanza. As a result, S&P 500 earnings per share (EPS) substantially exceeded expectations with 28.9% and 50.7% YoY gains in Q1 and Q2, respectively. Excluding mark-to-market gains on Equity stakes, EPS were still strong at 9.5% and 25.7%, respectively. The sharp upside revisions to 2026 earnings estimates to about \$340 alongside expectations for continued economic expansion have lifted analysts’ 2027 consensus EPS estimate to approximately \$408, pointing to further market upside potential.

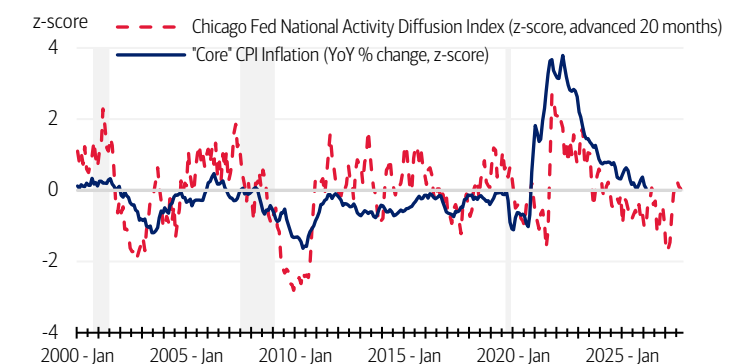
All in all, YoY PCE inflation remains too high for the Fed to declare victory. However, recent growth and inflation data have lowered the odds of a Fed rate hike to roughly 31% according to the CME Fedwatch. All told, the risk-asset outlook remains constructive.

Exhibit 1: Reduced Labor Demand and Slowing Inflation Are Key to Solving the Fed's Data Conundrum.

A) Dimming prospects of finding work depress consumer confidence.



B) More cyclical than “core” PCE inflation, “core” CPI inflation has already normalized in lagged response to past cyclical economic slowdown.



*z-score=number of standard deviations from the mean of a data set. Exhibit 1A) Sources: Bureau of Labor Statistics, The Conference Board/Haver Analytics. Data as of August 12, 2026. Exhibit 1B) Sources: Chicago Fed, Bureau of Labor Statistics/Haver Analytics. Data as of August 12, 2026. Please refer to index definitions at the end of this report.

Sounding the Arsenal Alarm

Lauren Sanfilippo, Director and Senior Investment Strategist

Following U.S. involvement in a string of global conflicts, just how depleted the nation's munitions stockpiles have become is now an open question. From the almost six-month U.S./Israeli conflict with Iran to the grinding Russia/Ukraine campaign now in its fifth year, diminished inventories have turned replenishment into a national security imperative. This has prompted the Trump Administration to invoke the Defense Production Act and push the industrial base to "drive significantly faster, more aggressive delivery schedules and/or increased production for critical capabilities." What's been an arsenal alarm for the nation's stockpiles has led to a backlog boom for defense contractors.

Since returning to office, President Trump has authorized more than 620 military strikes around the globe. These operations have extended beyond the Middle East to Africa and the Western Hemisphere, including operations in Somalia, Nigeria and Venezuela. As strikes surged in March amid escalating conflict with Iran, sophisticated and hard to replace weapons were fired faster than the industrial base could replenish them. Nowhere is that strain more acute than in air defense interceptors.

According to the Center for Strategic and International Studies, the U.S. may have expended roughly two-thirds of its Patriot interceptors, leaving as few as 759, while Terminal High Altitude Area Defense (THAAD) inventories have shrunk by more than a third (Exhibit 2A). The Pentagon has moved to triple Patriot and quadruple THAAD output as it rebuilds an "Arsenal of Freedom" while also requesting tens of billions in emergency replenishment funding. The administration's munitions request of \$76 billion in the FY 2027 defense budget plus \$21 billion in supplemental war funds reflects this urgency.

Globally, the spending backdrop is equally striking: global military expenditure has never been higher, reaching a record high of \$2.89 trillion last year. That's an 11th consecutive year of increased global defense spending, according to the Stockholm International Peace Research Institute (SIPRI). Despite the uptrend in spending, defense spending only amounts to 2.5% of world gross domestic product (GDP). That compares to a higher annual average of 3.4% stretching from 1960 to 2025. Even the world's biggest spender the U.S., after mandatory and discretionary spending on healthcare, social security, education and much more, the Pentagon apportions a mere 3.1% of GDP, well below a historical average north of 5% (Exhibit 2B). Historically it hasn't always been this way, as the U.S. committed nearly 17% of its economy to defense in 1952 during the Korean War and climbed back toward 8% during the Vietnam War.

Investment Implications

Valuations remain an important consideration as aerospace and defense stocks trade at a premium. With a global rearmament cycle, defense modernization, and rising investment in drones, cyber, autonomy, and space potential investment opportunities span across both public and private markets.

Exhibit 2: Taking Stock of Interceptors and Military Spending.

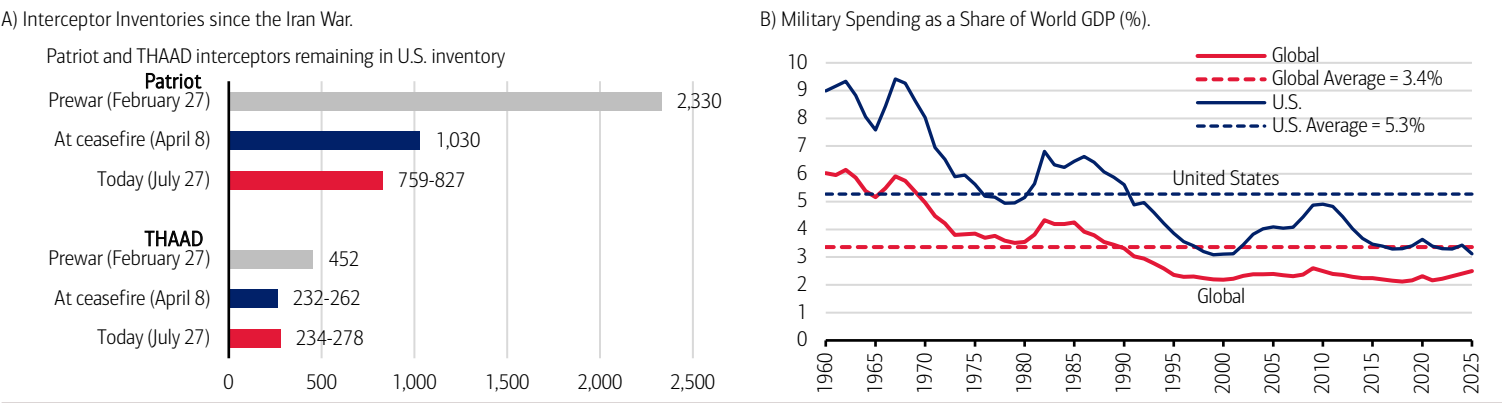


Exhibit 2A) Note: Estimated inventories today account for additional interceptor use and new deliveries since the April 8 ceasefire. THAAD deliveries during the ceasefire outpaced estimated use over the same period, resulting in higher inventories today than in April. Patriot calculations include the latest Missile Segment Enhancement variant and Patriot Advanced Capability (PAC)-3s. Several hundred PAC-2s, not represented in the chart, are estimated to remain in the U.S. inventory. Source: Center for Strategic and International Studies. Data as of July 27, 2026. Exhibit 2B) Source: SIPRI. Data through 2025, as of August 2026.

The Aerospace of it All. The structural spending story coincides with a commercial aviation recovery that has pushed the global aircraft backlog to a record 17,000 aircraft. At

the same time, aging U.S. defense and commercial aviation fleets are compounding supply chain pressures and ratcheting up maintenance costs (older, less efficient aircraft are more expensive to keep in service). Fleet modernization from avionics to composite materials is adding another layer of demand to the global arms race already underway.

Arsenal Alarm, Backlog Boom. The beneficiaries of it all, as told in Q2 earnings reports, are some of the largest U.S. defense primes that have reported record order backlogs, paving the way for years of revenue and underscoring the scale of the global rearmament cycle. See Exhibit 3A for a breakdown of the \$850 billion in backlogs. With funding less of a constraint, production capacity and lead times are key pressure points. In many cases, replenishing depleted inventories will take years, not months or weeks. The replenishment math is daunting: Patriot interceptor replenishment may require at least two to three years from contract signing, to build, to delivery. Given these lengthy lead times, inventories of THAAD interceptors and Tomahawk cruise missiles may not return to prewar levels until late into this decade.

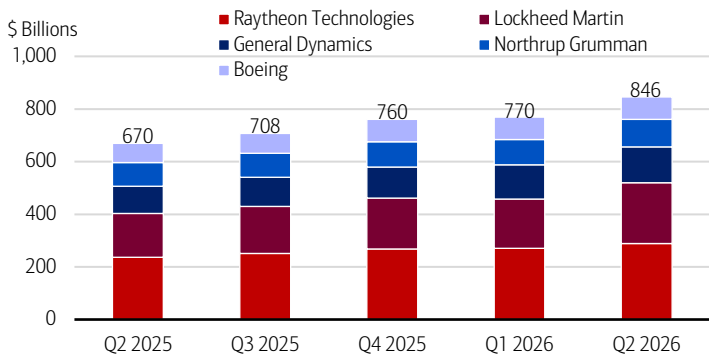
As another constraint, decades of post-Cold War consolidation have left the industrial base dependent on a smaller number of suppliers for critical components while also shrinking the pool of skilled laborers needed to scale production rapidly. For example, the U.S. defense industrial base had 51 prime contractors in the early 1990s, but just five today. In some cases the Pentagon is relying on a new generation of “second source” suppliers, leveraging commercial technologies and manufacturing practices to accelerate modernization.

The shift extends beyond conventional weapons systems and into drone warfare, as seen in the Russia/Ukraine war. Ukraine’s drone losses averaged 670,000 per month according to North Atlantic Treaty Organization data from May. The U.S. military has lost a quarter (45 total) of its Reaper drone fleet, costing up to \$50 million each. Such a pace of attrition underscores the enormous production requirements modern drone warfare demands.

And so, global defense is in an upcycle, driven by rising geopolitical tensions, rearmament efforts and growing investment in next-generation military technologies. Given the year-to-date attention on various geopolitical hotspots, the defense sector initially outperformed the broader market amid escalating conflict in the Middle East, subsequently has given back some outperformance (Exhibit 3B). More encouraging has been consensus EPS estimates for the major U.S. defense names that have been revised upward since the start to the Iran conflict, a notable divergence from the negative stock price performance seen over the same period. Even so, larger defense budgets, ambitious procurement plans, and increasing demand for advanced weapons systems continue to support the sector’s underlying fundamentals and a key long-term theme for us.

Exhibit 3: Order Books and Defense YTD Performance.

A) U.S. Defense Primes Order Books at a Record in Q2.



B) For the Rebuild: Tracking Defense versus the S&P 500.



FOR INFORMATIONAL PURPOSES ONLY. Any reference to a specific company or security does not constitute a recommendation to buy, sell, hold or directly invest in the company or its securities. Exhibit 3A) Boeing includes defense, space and security backlog. Source: Bloomberg estimates. Data as of July 2026 reporting. Exhibit 3B) Source: Bloomberg. Data as of August 12, 2026. Indexes referenced: S&P 500 and S&P 500 Aerospace & Defense Industry GICS Level 3 Index. Short-term performance shown to illustrate more recent trend. It is not possible to invest directly in an index. Please refer to index definitions at the end of this report. **Past performance is no guarantee of future results.**

What, in Our View, is the Largest Risk in the Markets Right Now?

Christopher Hyzy, Chief Investment Officer

There are multiple risks that have been gray clouds overhanging the markets throughout 2026. The risks range from tariff adjustments and geopolitical tensions and escalations to Private Credit worries, higher oil prices, elevated inflation, AI return on investment concerns and rising longer-dated bond yields. The risks and worries have so far been outweighed by a resilient consumer, strong capital investment and corporate earnings growth that is averaging about double or the growth rate originally expected by the consensus.

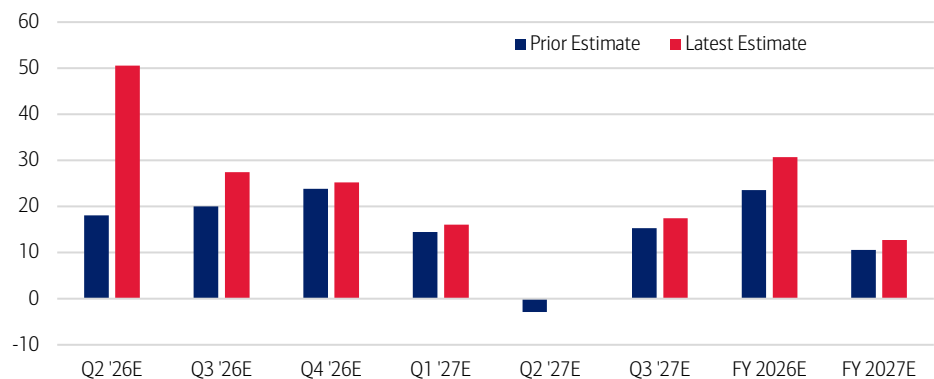
Where does that leave the largest risk for the remainder of this year, in your view? We believe rising bond yields that become unanchored represent the largest risk. We don't expect this to unfold for a variety of reasons which range from balanced demand for Treasuries and stable break-even inflation to attractive corporate fundamentals and still healthy balance sheets. In addition, the U.S. still holds the highest sovereign yields in the developed world which helps keep non-U.S. demand healthy while the U.S. dollar remains stable. In summary, the combination of high leverage and sharply rising yields is a tonic that can have a significantly negative impact on economic growth, corporate profits, and eventually portfolio returns. We watch this closely. Currently, this combination is a tail risk that is low, in our opinion, and not something that has a high probability of unfolding anytime soon—especially since we believe we are still close to mid-cycle in the broader economy and the chief engine—the AI buildout.

Investment Implications

The capital investment cycle is still early, while the economic cycle appears to be closer to mid. Therefore, although we expect the earnings growth rate to slow down, we still believe the "receivers of capital investment" will grow at a very attractive rate in the foreseeable future.

Exhibit 4: The Biggest Risk and Potential Opportunity.

A) S&P 500 Earnings Year-over-Year Growth (%).



B) U.S. 10-year yield climbing steadily since 2020 but below prior peak levels.

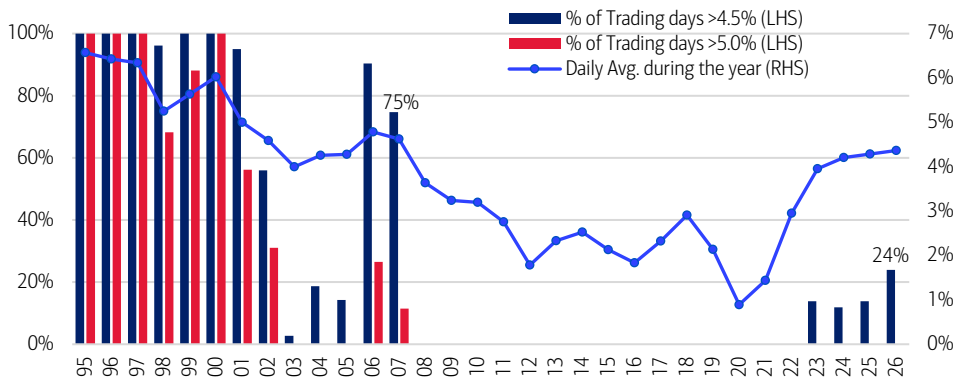


Exhibit 4A) Source: FactSet. Data as of August 12, 2026. A = Actual, E = Estimate. Q2'27E red bar is -0.02%. Exhibit 4B) Source: Bloomberg. Data as of August 12, 2026. Years without any columns represent 0%. It is not possible to invest directly in an index. Please refer to index definitions at the end of this report. **Past performance is no guarantee of future results.**

MARKETS IN REVIEW

Equities

Equities	Total Return in USD (%)			
	Current	WTD	MTD	YTD
DJIA	53,732.41	-0.5	2.4	12.8
NASDAQ	26,729.16	0.2	5.4	15.4
S&P 500	7,785.76	0.4	4.0	14.5
S&P 400 Mid Cap	3,926.98	1.1	4.5	19.7
Russell 2000	3,068.42	1.1	4.7	24.5
MSCI World	5,029.48	0.5	3.8	14.4
MSCI EAFE	3,262.58	0.6	2.8	14.8
MSCI Emerging Markets	1,701.17	2.7	2.2	22.7

Fixed Income[†]

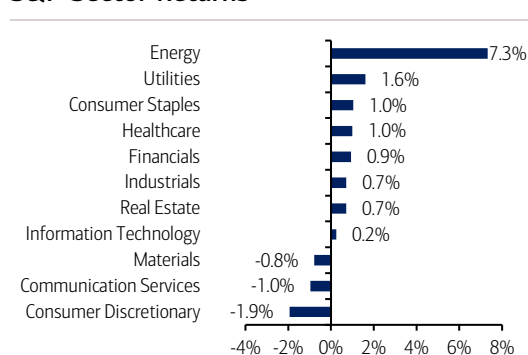
Fixed Income	Total Return in USD (%)			
	Current	WTD	MTD	YTD
Corporate & Government	4.83	-0.15	0.38	-0.42
Agencies	4.52	0.04	0.39	0.64
Municipals	3.81	0.12	0.80	1.23
U.S. Investment-Grade Credit	4.92	-0.14	0.46	-0.24
International	5.42	-0.29	0.37	-0.47
High Yield	7.20	0.15	0.87	2.59
90 Day Yield	3.78	3.79	3.75	3.63
2 Year Yield	4.17	4.20	4.29	3.47
10 Year Yield	4.69	4.65	4.73	4.17
30 Year Yield	5.26	5.20	5.27	4.84

Commodities & Currencies

Commodities	Total Return in USD (%)			
	Current	WTD	MTD	YTD
Bloomberg Commodity	348.80	2.8	2.7	26.3
WTI Crude \$/Barrel ^{††}	82.40	5.4	-2.7	43.5
Gold Spot \$/Ounce ^{††}	4376.4	0.8	8.2	1.3

Currencies	Total Return in USD (%)			
	Current	Prior Week End	Prior Month End	2025 Year End
EUR/USD	1.16	1.16	1.15	1.17
USD/JPY	159.32	157.76	157.40	156.71
USD/CNH	6.74	6.74	6.75	6.98

S&P Sector Returns



Sources: Bloomberg, Factset. Total Returns from the period of 08/10/2026 to 08/14/2026. [†]Bloomberg Barclays Indices. ^{††}Spot price returns. All data as of the 08/14/2026 close. Data would differ if a different time period was displayed. Short-term performance shown to illustrate more recent trend. **Past performance is no guarantee of future results.**

Economic Forecasts (as of 8/14/2026)

Economic Forecasts	Q1 2026A	Q2 2026A	Q3 2026E	Q4 2026E	2026E	2027E
Real global GDP (% y/y annualized)	-	-	-	-	3.2	3.4
Real U.S. GDP (% q/q annualized)	2.1	1.5	2.5	2.4	2.1	2.2
CPI inflation (% y/y)	2.7	3.8	3.2	2.9	3.2	2.0
Core CPI inflation (% y/y)	2.5	2.7	2.4	2.5	2.5	2.5
Unemployment rate (%)	4.3	4.3	4.2	4.2	4.2	4.2
Fed funds rate, end period (%)	3.63	3.63	3.88	4.38	4.38	4.38

The forecasts in the table above are the base line view from BofA Global Research. The Global Wealth & Investment Management (GWIM) Investment Strategy Committee (ISC) may make adjustments to this view over the course of the year and can express upside/downside to these forecasts. Historical data is sourced from Bloomberg, FactSet, and Haver Analytics. **There can be no assurance that the forecasts will be achieved. Economic or financial forecasts are inherently limited and should not be relied on as indicators of future investment performance.** A = Actual. E/* = Estimate. Data as of August 14, 2026.

Sources: BofA Global Research; GWIM ISC as of August 14, 2026.

Asset Class Weightings (as of 8/4/2026)

Asset Class	CIO View				
	Underweight		Neutral		Overweight
Global Equities	•	•	•	●	•
U.S. Large-cap Growth	•	•	•	●	•
U.S. Large-cap Value	•	•	•	●	•
U.S. Small-cap Growth	•	•	•	●	•
U.S. Small-cap Value	•	•	•	●	•
International Developed	•	●	•	•	•
Emerging Markets	•	•	•	●	•
Global Fixed Income	•	●	•	•	•
U.S. Governments	•	●	•	•	•
U.S. Mortgages	•	●	•	•	•
U.S. Corporates	•	●	•	•	•
International Fixed Income	•	●	•	•	•
High Yield	•	●	•	•	•
U.S. Investment-grade Tax Exempt	•	●	•	•	•
U.S. High Yield Tax Exempt	•	●	•	•	•
Alternative Investments*					
Hedge Strategies					
Private Equity					
Private Credit					
Real Assets					
Cash					

* Many products that pursue Alternative Investment strategies, specifically Private Equity and Hedge Funds, are available only to qualified investors. CIO asset class views are relative to the CIO Strategic Asset Allocation (SAA) of a multi-asset portfolio. Source: Chief Investment Office as of August 7, 2026. All sector and asset allocation recommendations must be considered in the context of an individual investor's goals, time horizon, liquidity needs and risk tolerance. Not all recommendations will be in the best interest of all investors.

CIO Equity Sector Views

Sector	CIO View				
	Underweight		Neutral		Overweight
Industrials	•	•	•	●	•
Consumer Discretionary	•	•	•	●	•
Financials	•	•	•	●	•
Information Technology	•	•	●	•	•
Energy	•	•	●	•	•
Materials	•	•	●	•	•
Utilities	•	•	●	•	•
Healthcare	•	•	●	•	•
Communication Services	•	●	•	•	•
Real Estate	•	●	•	•	•
Consumer Staples	•	●	•	•	•

Index Definitions

Securities indexes assume reinvestment of all distributions and interest payments. Indexes are unmanaged and do not take into account fees or expenses. It is not possible to invest directly in an index. Indexes are all based in U.S. dollars.

S&P 500 Index is a stock market index tracking the stock performance of 500 leading companies listed on stock exchanges in the United States.

Chicago Fed National Activity Diffusion Index is a monthly index designed to gauge overall economic activity and related inflationary pressure.

S&P 500 Aerospace & Defense GICS Level Index comprises stocks from the S&P Total Market Index that are classified in the GICS Aerospace & Defense sub-industry.

Consumer Price Index is an economic tool that tracks the average change over time in the prices paid by urban consumers for a market basket of consumer goods and services.

Institute for Supply Management Manufacturing Index is a composite measure equally weighing new orders, production, employment, supplier deliveries, and inventories.

Institute for Supply Management Services Index measures the economic health of the U.S. service sector, which accounts for the vast majority of the nation's economic activity.

Employment Index measures the change in the hourly labor cost to employers over time.

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All recommendations must be considered in the context of an individual investor's goals, time horizon, liquidity needs and risk tolerance. Not all recommendations will be in the best interest of all investors.

Asset allocation, diversification and rebalancing do not ensure a profit or protect against loss in declining markets.

Investments have varying degrees of risk. Some of the risks involved with equity securities include the possibility that the value of the stocks may fluctuate in response to events specific to the companies or markets, as well as economic, political or social events in the U.S. or abroad. Small cap and mid cap companies pose special risks, including possible illiquidity and greater price volatility than funds consisting of larger, more established companies. Investing in fixed-income securities may involve certain risks, including the credit quality of individual issuers, possible prepayments, market or economic developments and yields and share price fluctuations due to changes in interest rates. When interest rates go up, bond prices typically drop, and vice versa. Investments in high-yield bonds (sometimes referred to as "junk bonds") offer the potential for high current income and attractive total return, but involve certain risks. Changes in economic conditions or other circumstances may adversely affect a junk bond issuer's ability to make principal and interest payments. Income from investing in municipal bonds is generally exempt from Federal and state taxes for residents of the issuing state. While the interest income is tax-exempt, any capital gains distributed are taxable to the investor. Income for some investors may be subject to the Federal Alternative Minimum Tax (AMT). Treasury bills are less volatile than longer-term fixed income securities and are guaranteed as to timely payment of principal and interest by the U.S. government. Bonds are subject to interest rate, inflation and credit risks. Investments in foreign securities (including ADRs) involve special risks, including foreign currency risk and the possibility of substantial volatility due to adverse political, economic or other developments. These risks are magnified for investments made in emerging markets. Investments in a certain industry or sector may pose additional risk due to lack of diversification and sector concentration. There are special risks associated with an investment in commodities, such as gold, including market price fluctuations, regulatory changes, interest rate changes, credit risk, economic changes and the impact of adverse political or financial factors.

Alternative investments are speculative and involve a high degree of risk.

Alternative investments are intended for qualified investors only. Alternative Investments such as derivatives, hedge funds, private credit, private equity funds, and funds of funds can result in higher return potential but also higher loss potential. Changes in economic conditions or other circumstances may adversely affect your investments. Before you invest in alternative investments, you should consider your overall financial situation, how much money you have to invest, your need for liquidity, and your tolerance for risk.

Nonfinancial assets, such as closely held businesses, real estate, fine art, oil, gas and mineral properties, and timber, farm and ranch land, are complex in nature and involve risks including total loss of value. Special risk considerations include natural events (for example, earthquakes or fires), complex tax considerations, and lack of liquidity. Nonfinancial assets are not in the best interest of all investors. Always consult with your independent attorney, tax advisor, investment manager, and insurance agent for final recommendations and before changing or implementing any financial, tax, or estate planning strategy.

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